28 Oct 2026 17:01:47 ET | 11 pages

Alphabet Inc (GOOGL.O)

1st Impression: Cloud Revenue Growth Accelerates to 103% Y/Y, though Search & YT Growth Decelerating

CITI'S TAKE

Alphabet's 3Q26 results were mixed as Cloud revenue growth accelerated to 103% Y/Y while Search and YT growth slowed. Total revenue of $127.6B (+25% Y/Y ex-FX) was in line with FactSet consensus, with Search revenue growth +12.0% Y/Y (which compares to our +15% Y/Y projection), while Cloud revenue growth of +102.6% Y/Y compares to our +91% Y/Y projection. OI of $40.6B (31.8% margin) came in ~6% below consensus, although we note continued margin expansion across both Google Services (+220bps Y/Y on gross revenue) and Google Cloud (+1,250bps Y/Y). GAAP EPS of $2.12 compared to consensus $3.03.

Buy	
Price (28 Oct 26 16:00)	US$324.89
Target price	US$447.00
Expected share price return	37.6%
Expected dividend yield	0.3%
Expected total return	37.9%
Market Cap	US$3,956,824M

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- **Key Focus Areas on the Call: 1)** Gemini 4 product roadmap—following the launch of Argon in late September (Carbon rolling out); **2)** Compute capacity & insights on '27 CapEx—with Gemini 4 and model launches, our focus is on GOOGL's capacity allocations across the organization; **3)** AI Search demand & migration to AI Max (500K+ advertisers) in September; **4)** Cloud: TPU sales & broadening Enterprise use cases; and **5)** OI margin expansion expectations and internal AI-driven efficiencies.

- **Overall Results: Revenue In Line and OI ~6% Below Consensus:** Alphabet reported revenue of $127.6 billion (+25% Y/Y ex-FX), in line with consensus. Total OI of $40.6 billion (31.8% margin) was ~6% below consensus and GAAP EPS of $2.12 compared to consensus $3.03.

- **Google Search & YT Below Expectations:** Search & Other revenues of $63.4 billion (+12.0% Y/Y) were ~2.5% below consensus, decelerating from 2Q's +16.8% Y/Y. YouTube ad revenue of $11.2 billion (+9.2% Y/Y) came in ~2% below consensus, decelerating from 2Q's +15.7% Y/Y. Google Services gross revenue of $96.3 billion (+10.6% Y/Y) came in ~2% below consensus, while Google Services GAAP operating income margin was 40.7%, +220bps Y/Y, though below our 43.0% projection.

- **Google Cloud: Revenue Growth Accelerates to +102.6% Y/Y:** Google Cloud revenue of $30.7 billion grew +102.6% Y/Y and came in ~7% above consensus, accelerating from 2Q's +82% Y/Y. Cloud operating profit was $11.1 billion (36.2% margin; +1,250bps Y/Y) compared to consensus of $9.7 billion (33.9% margin) and suggests to us that TPU sales are margin accretive.

- **Capex: Ramping Technical Infrastructure Investments:** Capex grew +$6.4 billion Q/Q to $51.4 billion, ~10% below our projection.

See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations

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Figure 1. GOOGL 3Q26 Results vs. Projections

			Citi		Y/Y % Change		
	3Q25A	2Q26A	3Q26E	3Q26A	3Q26E	3Q26A	vs. Estimate
Google Search and Other	$56,567	$63,271	$65,193	$63,350	15.3%	12.0%	-2.8%
YouTube Ads	$10,261	$11,055	$11,441	$11,207	11.5%	9.2%	-2.0%
Google Network Websites	$7,354	$7,303	$7,133	$7,455	-3.0%	1.4%	4.5%
Google Advertising	**$74,182**	**$81,629**	**$83,768**	**$82,012**	**12.9%**	**10.6%**	**-2.1%**
Google Subscriptions, Platforms, and Devices	$12,870	$12,911	$14,672	$14,290	14.0%	11.0%	-2.6%
Google Services	**$87,052**	**$94,540**	**$98,440**	**$96,302**	**13.1%**	**10.6%**	**-2.2%**
Google Cloud	$15,157	$24,768	$28,950	$30,709	91.0%	102.6%	6.1%
Other Bets	$344	$382	$351	$372	2.0%	8.1%	6.0%
Total Gross Revenue	**$102,346**	**$119,796**	**$127,740**	**$127,577**	**24.8%**	**24.7%**	**-0.1%**
TAC	$14,876	$16,179	$16,360	$16,366	10.0%	10.0%	0.0%
Net Revenue	**$87,470**	**$103,617**	**$111,380**	**$111,211**	**27.3%**	**27.1%**	**-0.2%**
SEGMENT OPERATING RESULTS							
Google Services Revenue	$87,052	$94,540	$98,440	$96,302	13.1%	10.6%	-2.2%
Google Services Operating Income	**$33,527**	**$39,544**	**$42,329**	**$39,157**	**26.3%**	**16.8%**	**-7.5%**
Google Services Operating Margin	38.5%	41.8%	43.0%	40.7%			
Google Cloud Revenue	$15,157	$24,768	$28,950	$30,709	91.0%	102.6%	6.1%
Google Cloud Operating Income	**$3,594**	**$8,814**	**$10,277**	**$11,121**	**186.0%**	**209.4%**	**8.2%**
Google Cloud Operating Margin	23.7%	35.6%	35.5%	36.2%			
Other Bets Revenue	$344	$382	$351	$372	2.0%	8.1%	6.0%
Other Bets Operating Income	**-$1,426**	**-$1,799**	**-$1,684**	**-$2,047**	**N/A**	**N/A**	**N/A**
Other Bets Operating Margin	-414.5%	-470.9%	-480.0%	-550.3%			
Corporate Costs, Unallocated Op Inc	-$4,467	-$5,789	-$7,150	-$7,655	N/A	N/A	N/A
OPERATING EXPENSE AND PROFITABILITY RESULTS							
Gross Profit	**$60,977**	**$73,853**	**$78,857**	**$76,158**	**29.3%**	**24.9%**	**-3.4%**
Research and Development	$15,151	$18,219	$21,162	$20,640	39.7%	36.2%	-2.5%
Sales and Marketing	$7,205	$8,403	$9,133	$8,804	26.8%	22.2%	-3.6%
General and Administrative	$3,936	$6,461	$4,789	$6,138	21.7%	55.9%	28.2%
Operating Income	**$31,228**	**$40,770**	**$43,772**	**$40,576**	**40.2%**	**29.9%**	**-7.3%**
GAAP EPS	**$2.87**	**$9.11**	**$3.10**	**$2.12**	**8.0%**	**-26.2%**	**-31.7%**
% of Revenue							
Gross Margin	**69.7%**	**71.3%**	**70.8%**	**68.5%**			
Research and Development	17.3%	17.6%	19.0%	18.6%			
Sales and Marketing	8.2%	8.1%	8.2%	7.9%			
General and Administrative	4.5%	6.2%	4.3%	5.5%			
Operating Margin	**30.5%**	**34.0%**	**34.3%**	**31.8%**			

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Alphabet Inc

Valuation

Our $447 target price is based on ~28x our GAAP EPS of $15.87 in 2027E. While a 28x multiple is a premium to the market and to Google's historical multiple range, given Google Cloud revenue growth is reaccelerating on TPU and Gemini demand as query volume strength continues, we believe the shares warrant a premium to the market and to Alphabet's historical multiple. We reiterate our Buy rating on shares given our view that Google's product halo could lead to continued Search usage, and we are impressed with Gemini 4 and Google's newer AI models.

Risks

Risks to Alphabet achieving our target price include: 1) adverse economic and/or consumer spending trends could hinder advertising spend; 2) competition could prove to have a greater impact on company performance than we anticipate; 3) internet advertising spend could decelerate faster than we anticipate; and 4) regulatory pressures on anti-trust, data, and privacy practices could potentially have an adverse impact on performance.

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Appendix A-1

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Alphabet Inc (GOOGL)

Ratings and Target Price History
Fundamental Research

Analyst: Ronald Josey



	Date	Rating	Target Price	Closing Price
1	31-Jan-24 03:30:54	1	*168.00	140.10
2	26-Apr-24 03:06:13	1	*190.00	171.95
3	24-Jul-24 01:37:30	1	*212.00	172.63
4	30-Oct-24 03:55:06	1	*216.00	174.46
5	20-Dec-24 11:14:23	1	*232.00	191.41
6	05-Feb-25 01:53:47	1	*229.00	191.33
7	10-Apr-25 00:57:50	1	*195.00	152.82
8	25-Apr-25 03:30:51	1	*200.00	161.96
9	24-Jun-25 05:00:48	1	*203.00	166.77
10	24-Jul-25 05:11:15	1	*225.00	192.17
11	15-Sep-25 07:35:33	1	*280.00	251.61
12	30-Oct-25 04:41:34	1	*343.00	281.48
13	19-Dec-25 07:17:53	1	*350.00	307.16
14	05-Feb-26 02:43:33	1	*390.00	331.25
15	14-Apr-26 00:32:11	1	*405.00	332.91
16	30-Apr-26 03:55:34	1	*447.00	384.80

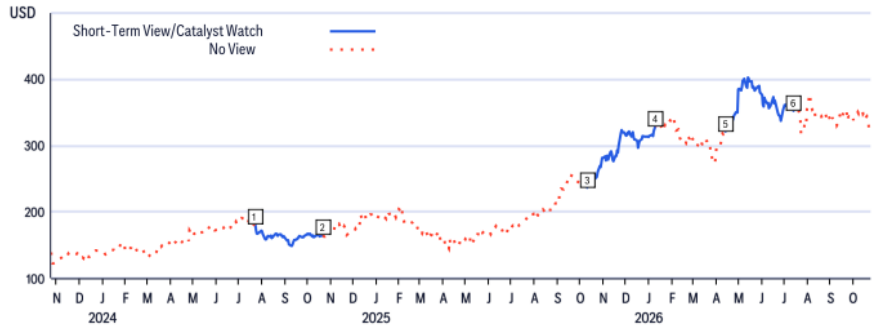
*Indicates Change

Rating/target price changes above reflect Eastern Time

Alphabet Inc (GOOGL)

Short-Term View/Catalyst Watch Research

Analyst: Ronald Josey



	Date	Action	Expected Direction	Duration	Closing Price
1	23-Jul-24 21:37:30	Add STV	Upside	90 Days	181.79
2	22-Oct-24 12:28:09	Remove STV	Upside	90 Days	165.14
3	12-Oct-25 20:59:21	Add STV	Upside	90 Days	236.57
4	09-Jan-26 12:28:52	Remove STV	Upside	90 Days	328.57
5	13-Apr-26 20:32:11	Add CW	Upside	90 Days	321.31
6	13-Jul-26 12:12:31	Remove CW	Upside	90 Days	352.51

CW - Catalyst Watch , STV - Short-Term View

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% of companies in each rating category that are investment banking clients	39%	43%	30%	42%	38%	36%

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